

POWER OFF

Many states have to go without power for up to 10 hours a day...

- Delhi suffers the most with up to 10-hour-a-day load-shedding
- And 7-9 hours in Maharashtra
- Even small towns like Jammu go without power for 8-9 hours a day
- Besides scheduled cuts, power is also switched off during shortages

SUPPLY GAP

...because there's a 13,897 MW shortfall in availability...

- Which can power Delhi & UP
- Deficits in Maharashtra and Gujarat are 27% and 30%
- Poor generation and distribution is to be blamed
- Some cities are buying at Rs 7/unit from captive plants

LOSSES

...as 29518 MW is lost to theft and leakage. And capacity addition is slow.

- Is twice the unmet demand
- A third of the electricity produced
- If wiped out, India could turn power surplus
- At Rs 47,000 crore, the loss is equal to Centre's 2006-07 allocation for poverty alleviation



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ted additions to generation capacity has come on steam. Thanks to the sloth at every level—from fuel linkage to land allocation to clearances from the state machinery. To gauge the ineffectiveness, stomach this: India's economic growth rate is a tad below China's, yet while the latter adds generation capacity of 70000 MW every year, we added 21180 MW in the last five years. Bihar has not even added 1 MW of capacity in the last 10 years.

The crisis provoked the Prime Minister to say that "business as usual attitude will not work". But fact is it is business as usual. Sample the "alacrity and urgency": In January 2006, Manmohan had scheduled a crisis meeting of chief ministers on the power sector. It was ultimately held after a delay of 16 months on May 29 this year. And what did it consent to? At the end

of a day's brainstorming, the prime minister announced four committees including a panel of chief ministers to be set up shortly. If Manmohan evoked a sense of déjà vu, it is because scores of committees have been constituted on the power sector over the last two decades the recommendations of which are still gathering dust. In the early 1990s, one headed by the then Maharashtra chief minister Sharad Pawar, for instance, had advocated among other things progressively raising the agricultural tariff from a floor-level of Re 0.50 per unit to half the cost of supply. If acted upon, the agricultural tariff would have been Rs 1.50 per unit.

The prime minister should have outlined how states can embark upon these politically-untouchable goals at the conference last month. Instead, the session concluded without yielding a

breakthrough. Manmohan got the diagnosis right but he ducked providing remedies. Much of what he lectured on—the poor progress of capacity generation, heavy losses and wasteful consumption—was already known to the states. For instance, in 2001-02 the Centre had incentivised states with financial assistance to control leakages from the delivery networks by cutting them at the rate of 9 per cent a year. The reduction rate in the following four years was 1.68 per cent per annum.

Part of the problem is that over a third of the power generated is lost as corrupt politicians look the other way while ingenious industrialists steal it from under their noses. Some bit is wasted as the transmission networks cannot handle overloading. Such aggregate technical and commercial (AT&C) losses have mounted to over 50